The following are the steps to be followed to locate errors after preparing trial balance:

(i) The totals of debit and credit columns of trial balance are to be checked.

(ii) The balances of various ledger accounts shown in the trial balance are to be checked to ensure whether they are shown in the respective columns (debit or credit).

(iii) The difference in the trial balance must be halved and compared with balances of ledger to verify whether any ledger balance is recorded on the wrong side of the trial balance.

(iv) The totals of all the subsidiary books are to be checked, especially if the difference is ₹ 1, ₹ 100 etc.

(v) If the difference is divisible by '9', the difference may be due to transposition of figures in the books. (Writing ₹ 127 as ₹ 172). Hence, the possibilities of transposition of figures shall be checked.

(vi) The accounts of all the creditors and debtors are to be verified.

(vii) Postings from the subsidiary books to different accounts in the ledger are to be checked.

(viii) The correctness of the balances of various ledger accounts is to be ensured.

(ix) All the amounts carried forward from one page to the next are to be verified.

(x) If the difference still exists, as a final step all the entries in the journals should be verified.



Student activity

Think: Is it possible to prepare final accounts, even when the trial balance does not tally?

9.7 Suspense account

9.7.1 Meaning of suspense account

When the trial balance does not tally, the amount of difference is placed to the debit (when the total of the credit column is higher than the debit column) or credit (when the total of the debit column is higher than the credit column) to a temporary account known as 'suspense account'.



Student activity

Think: If the suspense account is not balanced, what does it indicate?

9.7.2 Preparation of suspense account

Suspense account will remain in the books until the location and rectification of errors. After rectifying the errors and posting the rectification entries to the respective ledger accounts, the suspense account appearing in the ledger is to be balanced. If all the errors are located and rectified, the suspense account gets closed.

9.8 Rectification of errors



Depending on the stage at which errors are located, they are subsequently rectified at the respective stage itself.

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